



FOR THE LIFE OF



HOW TO GET VA

- You are the first
- Use it to test you
- Benchmark your decisions.
- Understand your



PURPOSE OF T

This 3-Year P&L Pr
(which shows mont

This template is ide

- Bank loan applic
- Investor pitch de
- Strategic plannir
- Use this tool to h
- Combine this wit
- SCORE mentor

HOW IT WORKS

This workbook has

1. Assumptions — automatically from
2. 3-Year P&L — automatically.
3. Instructions —

STEP 1: SET YO

Go to the Assumpti

- Your company na
- Year 1, 2, and 3
- Revenue growth
- Separate growth
- Tax rates (federal
- Insurance premi
- Contingency res

All blue cells in Ass

STEP 2: ENTER

In the 3-Year P&L t

Tip: If you've already done this before, they should be familiar with the numbers here. They should be able to explain them.

The grey-shaded cells in the Assumptions table are the ones you need to fill in.

STEP 3: REVIEW

Years 2 and 3 calculations

- Does the gross margin make sense?
- Is the operating leverage reasonable?
- Does the business model make sense?
- Are the NOI growth rates reasonable?

If projections look unlikely, go back to Step 1.

GROWTH RATE

Setting credible growth rates

- Research and understand the market
- Growth rates vary by industry
- Customer acquisition costs
- Seasonality and timing
- This model uses a constant growth rate
- Be sure to test the sensitivity of your results
- Your SCORE model should be able to handle a range of growth rates

BUSINESS INSURANCE

Insurance costs typically

- Higher general liability
- Workers' compensation
- New coverage not included in BOP
- BOP policy re-rating

The Assumptions table

Not sure what coverage you need?

KEY METRICS SUMMARY

The Key Metrics row

- Gross Margin %
- Operating Expense Ratio
- Net Profit Margin
- Revenue & NOI

Lenders and investors

TIPS FOR CREDIBILITY

- Never use the same numbers for all years
- Document your assumptions
- Show at least one year of historical data
- Expenses such as rent and utilities should be consistent
- Your plan should show a clear path to profitability
- Connect Year 1 to Year 2
- Your SCORE model should be able to handle a range of growth rates



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HOW TO USE THIS 3-YEAR P&L PROJECTION

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VALUE FROM PROJECTIONS

consumer of the thinking that goes into planning.

or assumptions.

information against the industry. Reduce your risk and increase your probability of success with better

r financials including P&L and Cash Flow.

THIS TEMPLATE

projection gives you a strategic view of your business's financial trajectory. Use it alongside the 12-Month P&L (highly detail for Year 1) to tell a complete financial story to lenders, investors, and advisors.

val for:

ations and SBA financing packages

cks and due diligence materials

ing and goal-setting

help test and refine your entire business plan to reduce risk and maximize success.

th your Cash Flow projections to see if you have enough working capital at all times.

review sessions

— 3 SHEETS

three sheets:

- Enter your growth rates, tax rates, and company info here. Year 2 and Year 3 values in the P&L calculate these rates.

The main projection. Enter Year 1 values (blue cells only). Year 2 and Year 3 populate from Assumptions

This sheet.

YOUR ASSUMPTIONS

ons tab first. Enter:

ame and fiscal year start

labels (e.g. FY2025, FY2026, FY2027)

r rates for Y1→Y2 and Y2→Y3

r rates for COGS and Operating Expenses

al, state, local)

um growth rate (typically 5–10% per year)

erve percentage

umptions are inputs. Everything else calculates.

YEAR 1 VALUES

ab, enter your Year 1 projected amounts in the blue cells.

If you've completed the 12-Month P&L template, use the Annual Total column from that sheet as your Year 1 inputs to match exactly.

Growth Rate columns show the assumption rates being applied. These are informational — change the rates on the Assumptions tab, not here.

YEARS 2 & 3

Results will automatically calculate based on your assumptions. Review the results:

• Profit margin improve as expected?

• Expense ratio declining as revenue grows? (It should — this is operating leverage.)

• Can you reach breakeven or profitability on a realistic timeline?

• Are growth rates believable and defensible?

If any of these are unrealistic, revisit the feasibility of the business model. Test scenarios here to identify risks and opportunities.

GUIDANCE

Growth rates is an important part of a 3-year projection.

Understand what is happening in this business/industry and the economy

• Be very widely - develop and explain your position

• Your business takes money, effort and time - be realistic and run conservative models for startup and growth

• External factors or competitor actions can impact revenue timing

• Don't assume linear percentage growth; you may need to use manual entries

• Cross-check these scenarios with your Cash Flow forecast to have enough working capital to reduce your risk of running out of money

• Your mentor can help you pressure-test these assumptions

RISKS — 3-YEAR PLANNING

Costs will typically increase 3–10% annually as your business grows. Plan for:

• Insurance premiums as revenue and payroll grow

• Rent increases tied directly to payroll growth

• Legal fees by Year 2–3 (cyber liability, D&O if you take investment, professional liability as you add service lines)

• Depreciation as your business property and equipment value increases

The Assumptions tab includes a dedicated insurance growth rate (default 5%). Adjust it to reflect your specific situation.

What type of insurance do you need? Learn more about commercial insurance at [progressivecommercial.com](https://www.progressivecommercial.com)

SUMMARY

Metrics at the bottom of the P&L automatically calculate:

• Operating Margin — should ideally improve or hold steady Year over Year

• Expense Ratio — total expenses as % of revenue; should decline

• EBITDA (After Tax) — your bottom-line efficiency

• Growth YoY — year-over-year change rates

Stakeholders will focus on these metrics. Aim for improving trends across all three years.

FEASIBILITY

Assign a growth rate for every line item — differentiate by category.

Test your assumptions: What drives it?

• Consider a base case scenario where growth is more conservative.

• Remember that costs such as raw materials, labor costs, insurance, rent, and utilities can be subject to economic shocks and inflation. Plan for a worst-case scenario.

• Cross-check totals to your 12-Month P&L for internal consistency.

• Your mentor can review your completed projection. Find one at www.score.org.

